Benefiting from loyalty

Loyal customers are more likely to buy higher-priced or additional products or services from you. For example, you could propose a more expensive product to them—known as upselling—such as a higher specification cell phone. You could also entice a loyal customer with an additional product—known as cross-selling—such as a screen saver for a cell phone. Making recommendations and suggestions throughout the buying experience, right up to checkout, are simple ways to upsell or cross-sell.

CALCULATING CUSTOMER RETENTION RATE

A simple equation can show you, as a percentage, how effective you are at keeping customers. It is known as the customer retention rate, or CRR. If your CRR percentage goes down over a particular period, you may have a customer retention problem that will need fixing. If the percentage goes up, you are becoming more successful at retaining customers, and this should be reflected in increased sales.

Customer retention rate (CRR)
S = number of customers at the start of a specific period
E = number of customers at the end of that period
N = number of new customers acquired during that period

$$\text{CRR} = \left[\frac{\text{E-N}}{\text{S}}\right] \times 100$$

Optimizing your customer services

- **Prioritize customer service** and response times. Offer staff bonuses, tied to meeting customer service performance targets.
- **Respond immediately** when a customer makes contact. If something goes wrong, apologize right away and rectify the problem as soon as possible.
- **Make it easy** for customers to buy from you, with a fast, secure, and flexible payment process. Always be available to answer queries.
- **Use analytics tools**, such as Google Analytics (see pp.212–215), to monitor website and social media interactions and continually learn about customer needs.
- **Set targets** for efficiency and speed in the flow of goods and services and their delivery. When targets are not met, investigate.

> "It can cost five times more to attract a new customer than it does to retain an existing one."
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> www.forbes.com, 2018